



What Sub-Categories Need to Go?

Analysis for Superstore

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Background

- **Goal:** Superstore wants to streamline their sub-category offerings by trimming 2-3 underperforming sub-categories
- **Data Analyzed:** 2012-2015 global retail orders (51,290 total orders)

Each of Superstore's sub-categories were evaluated on the following criteria:

1. Total Number of Orders

- *Goal: identify poor selling sub-categories*

2. Average Discount Rate

- *Goal: identify sub-categories that require high discount rates to clear inventory*

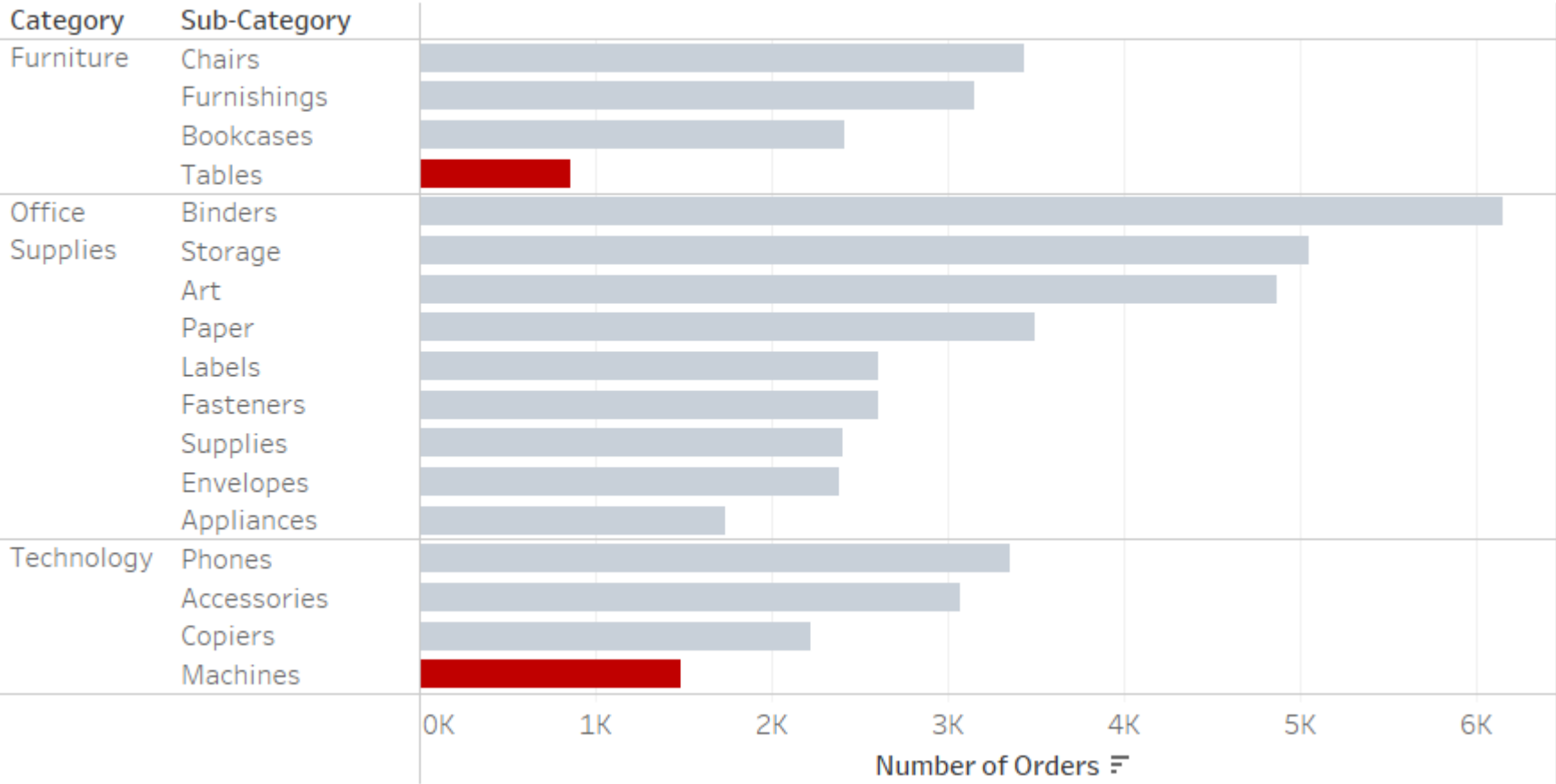
3. Profit-to-Sales Ratio

- *Goal: utilize combined metric of sales (revenue) and profit to evaluate each sub-categories performance*

Least Popular Sub-Categories?

Tables and **Machines**

Number of Orders by Sub-Category



Discount Analysis

- Superstore averages a **14.3%** discount rate
- Three sub-categories stand out negatively with high discount rates
 - **Tables** (29.1%)
 - **Binders** (17.9%)
 - **Machines** (17.0%)

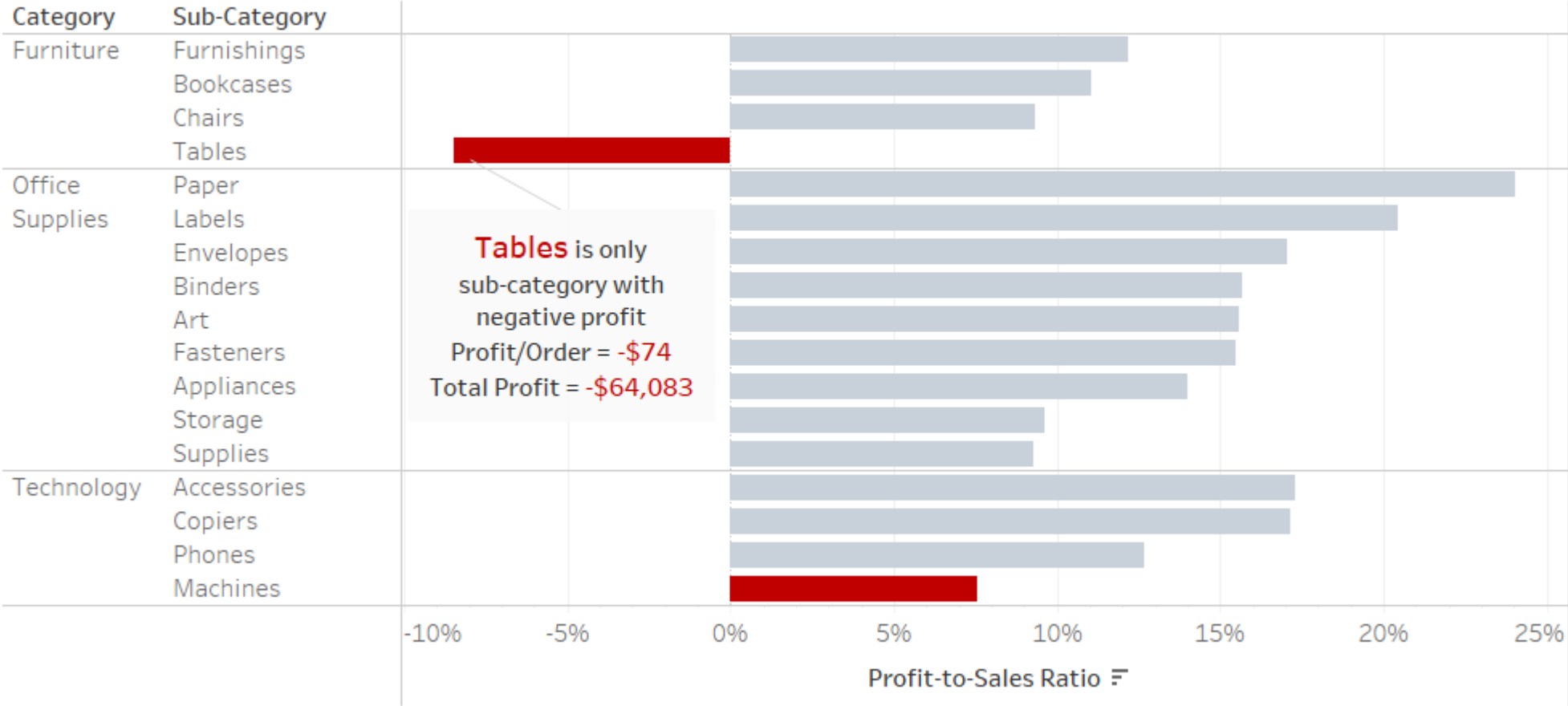
Average Discount by Sub-Category

Category	Sub-Category	Avg Discount
Furniture	Bookcases	15.4%
	Chairs	16.3%
	Furnishings	15.1%
	Tables	29.1%
Office Supplies	Appliances	14.2%
	Art	11.8%
	Binders	17.9%
	Envelopes	13.3%
	Fasteners	13.7%
	Labels	12.1%
	Paper	11.0%
	Storage	13.9%
	Supplies	12.8%
	Technology	12.0%
Technology	Accessories	12.0%
	Copiers	11.7%
	Machines	17.0%
	Phones	14.6%

Lowest Profit-to-Sales Sub-Categories?

Tables and Machines

Profit-to-Sales Ratio by Sub-Category



Recommendations

- **Drop Tables**

- Only unprofitable sub-category in current offerings
- Highest discount rate (29.1%)
- Lowest number of orders (861)

- **Drop Machines**

- Second lowest profit-to-sales ratio (8%)
- Above average discount rate (17%)
- Second lowest number of orders (1,486)



SCHOOL OF BUSINESS
PROVIDENCE COLLEGE

Appendix

What sub-categories are expensive to ship?

Tables and **Machines** are both in the Top 6



SCHOOL OF BUSINESS
PROVIDENCE COLLEGE

Sub-Category	Number of Orders	Shipping Cost/Order	Total Shipping Cost
Tables	861	\$93	\$79,863
Copiers	2,223	\$72	\$159,501
Bookcases	2,411	\$64	\$155,488
Appliances	1,742	\$62	\$108,308
Phones	3,357	\$55	\$184,953
Machines	1,486	\$53	\$79,150

TABLES: Potential Lost Customers

Number of Customers*		
with 3+ orders	with 10+ units purchased	with \$5,000+ purchased
3	19	3

Top Customers to Contact

Customer ID	Table Quantity	Table Sales	Total Sales
JS-1603059	17	\$4,552	\$5,489
NP-187001404	18	\$4,375	\$5,564
CP-123401406	14	\$3,265	\$4,164

Top overall customers have \$10,000+ in total sales

*Statistics only for tables

MACHINES: Potential Lost Customers

Number of Customers*		
with 3+ orders	with 10+ units purchased	with \$5,000+ purchased
1	37	4

Top Customers to Contact

Customer ID	Table Quantity	Table Sales	Total Sales
SM-203201408	10	\$23,459	\$23,669
BM-111401402	8	\$8,159	\$10,539
SB-202901402	10	\$5,579	\$5,579

Top 10
Customers!

Top overall customers have \$10,000+ in total sales

*Statistics only for machines

Would other sub-categories suffer by cutting tables and machines? **No**

- The 19 customers who ordered 10+ **tables** (232 tables in total) also ordered:
 - 17 chairs
 - 3 bookcases
 - *No other significant sub-category had significant units sold with this group of customers*
- The 37 customers who ordered 10+ **machines** (414 machines in total) also ordered:
 - 58 bookcases
 - 45 copiers
 - *No other significant sub-category had significant units sold with this group of customers*